



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2103: water improvements program; water hauling

GRIFFIN FLOOR AMENDMENT

1. Adds an exception that the county BOS may use general county monies for grants for certain water improvements programs.
2. Stipulates that monies collected through groundwater transportation fee are to be deposited in the county General Fund.
3. Authorizes a county that establishes a water improvements program to designate a portion of the total groundwater transportation fees received to be used under the water improvements program for qualified owners of residential property who reside within the related groundwater basin or subbasin.
4. States that the county must separately account for monies received from the groundwater transportation fees and any excess monies must be deposited in the county General Fund.
5. Makes technical and conforming changes.

ADDITIONAL COW
GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2103
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 11-254.09, Arizona Revised Statutes, is amended
3 to read:

4 11-254.09. Water improvements program; grants; requirements;
5 annual report

6 A. The board of supervisors may establish a program to allow
7 persons to make gifts, grants or donations for the purpose of providing
8 financial assistance to qualified owners of residential real property for
9 making improvements to an existing drinking water well or providing for
10 WATER HAULING FOR WATER DELIVERY OR a water delivery system for the
11 residence.

12 B. The board shall designate an entity to operate the program, to
13 establish criteria for grants and to award grants as prescribed by this
14 section. The entity may be a county agency, department or division or may
15 be a private, nonprofit corporation as determined by the board of
16 supervisors.

17 C. The program shall do all of the following:

18 1. Limit grant recipients to persons who are low-income or
19 fixed-income owners of residential property.

20 2. Develop application criteria and criteria for awarding grants.

21 3. Restrict a grant recipient's use of grant monies to deepening an
22 existing drinking water well for the recipient's residence, TO ACQUIRING
23 OR INSTALLING ONE OR MORE STORAGE TANKS FOR RECEIVING AND STORING WATER
24 DELIVERED THROUGH WATER HAULING or to plumbing or replumbing the
25 recipient's residence for a water delivery system.

26 D. [EXCEPT AS PROVIDED IN SECTION 45-556, SUBSECTION G.] The board
27 of supervisors may not use general county monies for grants under the
28 program.

1 E. The entity that operates the program shall make and submit to
2 the county board of supervisors, the president of the senate and the
3 speaker of the house of representatives on or before July 1 of each year a
4 report containing a description of program operations of the preceding
5 year, including the amount of gifts, grants or donations received and the
6 grants awarded.

7 <<Sec. 2. Section 45-556, Arizona Revised Statutes, is amended to
8 read:

9 45-556. Transportation fee; annual adjustment; credits;
10 enforcement

11 A. Except as provided in subsection B of this section, a person who
12 directly or indirectly transports groundwater, withdrawn in a groundwater
13 basin or ~~[sub-basin]~~ [SUBBASIN] as provided by this article or in the
14 Pinal active management area, away from the county in which it was
15 withdrawn to an initial active management area shall pay annually to the
16 county a groundwater transportation fee determined by the director for
17 each acre-foot of groundwater transported directly or indirectly away from
18 the county, less any amount of central Arizona project water actually used
19 on the property from which the groundwater is transported. [THE FEES
20 COLLECTED PURSUANT TO THIS SUBSECTION ARE CONSIDERED GENERAL COUNTY MONIES
21 AND SHALL BE DEPOSITED IN THE COUNTY GENERAL FUND.]

22 B. A person is not required to pay a transportation fee under this
23 section for stored water withdrawn pursuant to recovery well permits
24 issued by the director pursuant to this title.

25 C. Except as provided in subsection D of this section the director
26 shall set the fee as follows for the cumulative amount of groundwater
27 transported away from the county, less any amount of central Arizona
28 project water actually used on the property from which the groundwater is
29 transported:

30	<u>Net Groundwater Transported</u>	<u>Fee Per Acre-Foot</u>
31	0 - 1,000,000 acre-feet	\$ 3.00
32	1,000,001 - 2,000,000 acre-feet	\$ 5.00
33	2,000,001 - 3,000,000 acre-feet	\$ 7.50
34	3,000,001 - 4,000,000 acre-feet	\$10.00
35	4,000,001 - 5,000,000 acre-feet	\$15.00
36	Over 5,000,000 acre-feet	\$30.00

37 D. The director shall annually adjust the dollar amount of the fee
38 according to the annual changes in the GDP price deflator, as defined in
39 section 41-563, using the 1993 calendar year as the base year. The
40 director shall immediately notify all concerned parties of the fee
41 adjustments under this subsection.

42 E. Credits are allowed against the fees imposed by this section as
43 described and in the amounts provided under this subsection. If the
44 amount of the credit exceeds the amount of the fee imposed for any year,
45 the unused portion of the credit may be carried forward and applied to
46 subsequent years' fees until the amount of the credit is exhausted. The
47 allowable credits are as follows:

1 1. The amount of any increase in property tax revenues, including
2 contributions in lieu of property taxes under title 9, chapter 4, article
3 3, derived from remote municipal property, as defined in section 42-15251,
4 from which the groundwater is withdrawn. The credit shall account for
5 increased revenues due to improvements to the property and increased
6 revenues due to higher property tax valuations and assessment ratios
7 resulting from changes in use of the property. The credit shall not
8 account for increased revenues due to normal market or economic
9 factors. The amount of the credit for any year is the sum of the amounts
10 computed under subdivisions (a) and (b) [OF THIS PARAGRAPH] as follows:

11 (a) Delete from consideration under this subdivision any property
12 with respect to which an amount is computed under subdivision (b) [OF THIS
13 PARAGRAPH]. Subtract the amount of property tax or in lieu revenues that
14 would have been derived from the remaining property during the immediately
15 preceding tax year if the use of and improvements to the property had
16 remained unchanged since the date the city or town acquired the property
17 from the amount of property tax or in lieu revenues actually derived from
18 that property during the immediately preceding tax year. If a city or
19 town conveys all or part of its interest in remote municipal property to
20 another political subdivision, the political subdivision succeeds to the
21 credit allowed under this section. The amount of credit computed under
22 this subdivision shall be computed each year, beginning in the year
23 groundwater is first transported, and, if not used to offset the fee under
24 this section, shall be cumulated from year to year.

25 (b) This subdivision applies with respect to any portion of the
26 remote municipal property that, before January 1, 1992, was classified at
27 that time as class four property for purposes of property taxation under
28 title 42 but was developed or improved at any time after December 31, 1991
29 and is not currently classified as class two property. Subtract the
30 amount of property tax or in lieu revenues that would have been derived
31 from that developed or improved portion of the remote municipal property
32 during the immediately preceding tax year if the use of and improvements
33 to the property had remained unchanged since the date the city or town
34 acquired the property from the amount of property tax or in lieu revenues
35 actually derived from that portion of the property during the immediately
36 preceding tax year. If a city or town conveys all or part of its interest
37 in remote municipal property to another political subdivision, the
38 political subdivision succeeds to the credit allowed under this
39 section. The amount of credit computed under this subdivision shall be
40 computed each year, beginning in the year that the property is developed
41 or improved and reclassified for tax purposes, and, if not used to offset
42 the fee under this section, shall be cumulated from year to year.

43 2. An amount equal to the market value of land donated to the
44 county if the county agrees in writing to prohibit or limit the withdrawal
45 of groundwater from the land. The amount of the credit shall account for
46 the reduced value of the land due to the groundwater withdrawal
47 limitations.

1 3. An amount agreed to by intergovernmental agreement between the
2 county in which the groundwater is withdrawn and the city, town or other
3 person transporting the groundwater.

4 F. The board of supervisors of a county to which fees are due and
5 payable under this section may request the county attorney to commence and
6 prosecute any action or proceeding to enforce the collection of the fees.

7 [G. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A COUNTY THAT
8 ESTABLISHES A WATER IMPROVEMENTS PROGRAM PURSUANT TO SECTION 11-254.09 MAY
9 DESIGNATE AN AMOUNT OR PERCENTAGE OF THE TOTAL GROUNDWATER TRANSPORTATION
10 FEES RECEIVED TO BE USED UNDER THE WATER IMPROVEMENTS PROGRAM ONLY FOR
11 QUALIFIED OWNERS OF RESIDENTIAL PROPERTY WHO RESIDE WITHIN THE GROUNDWATER
12 BASIN OR SUBBASIN FROM WHICH THE GROUNDWATER WAS WITHDRAWN AND TRANSPORTED
13 AWAY. THE COUNTY SHALL SEPARATELY ACCOUNT FOR MONIES RECEIVED FROM THE
14 FEES IMPOSED PURSUANT TO SUBSECTION A OF THIS SECTION, AND ANY MONIES IN
15 EXCESS OF THE AMOUNT OR PERCENTAGE DESIGNATED BY THE COUNTY SHALL BE
16 DEPOSITED IN THE COUNTY GENERAL FUND.] >>

17 Enroll and engross to conform

18 Amend title to conform

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